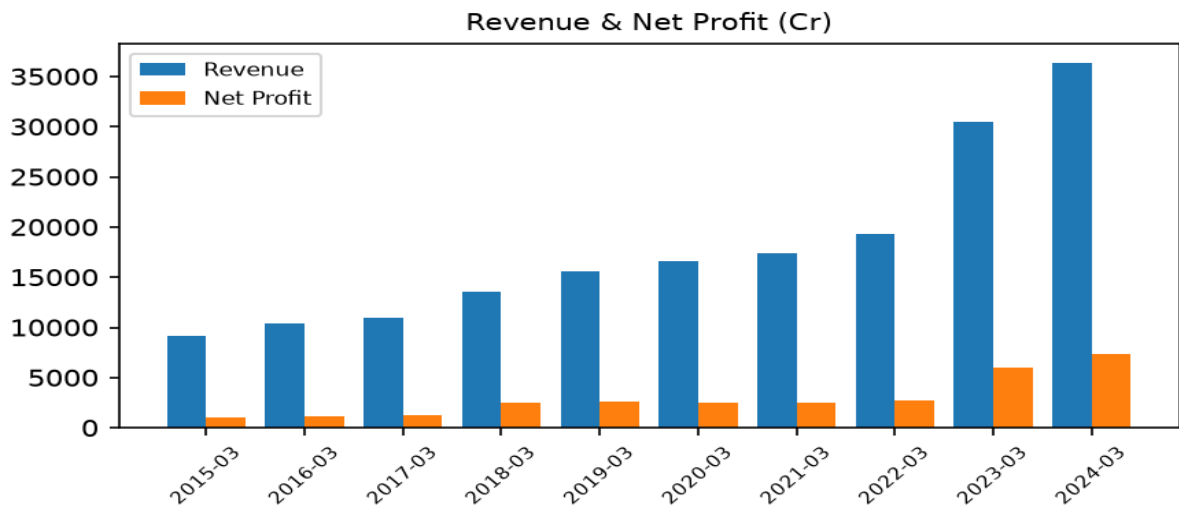


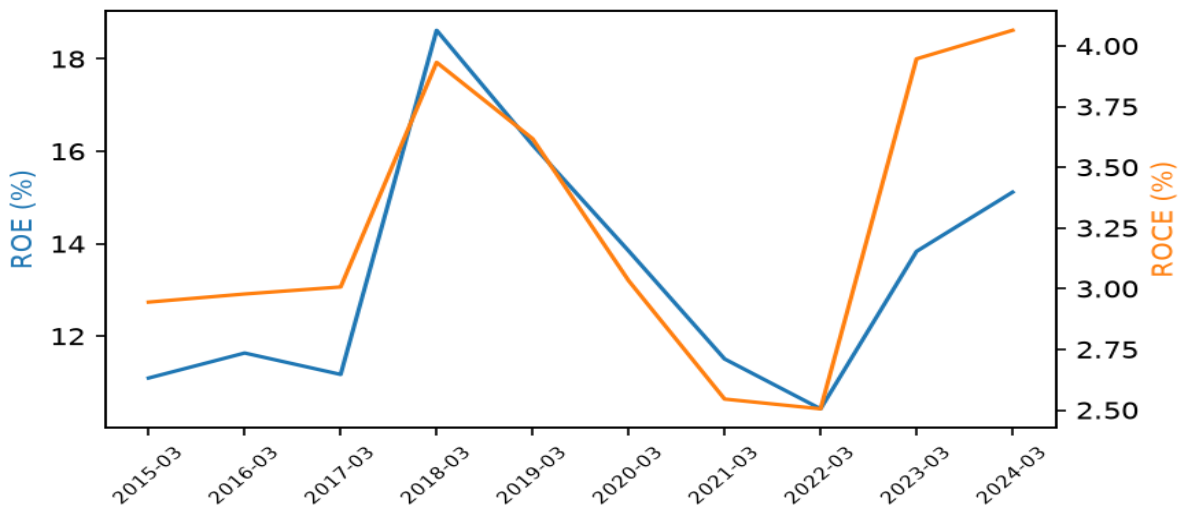
# Shriram Finance Ltd (SHRIRAMFIN)

|                     |                                  |                                        |
|---------------------|----------------------------------|----------------------------------------|
| <b>ROE</b><br>15.1% | <b>ROCE</b><br>4.1%              | <b>Net Profit Margin</b><br>20.3%      |
| <b>D/E</b><br>4.0   | <b>Revenue CAGR 5yr</b><br>18.6% | <b>Free Cash Flow (Cr)</b><br>-31359.0 |

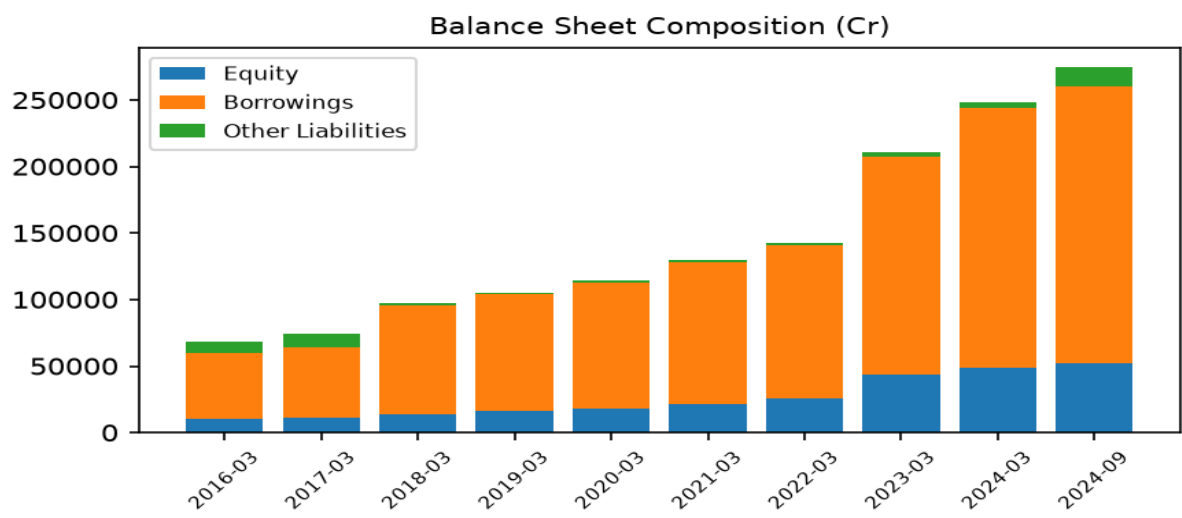
## Revenue & Net Profit (10yr)



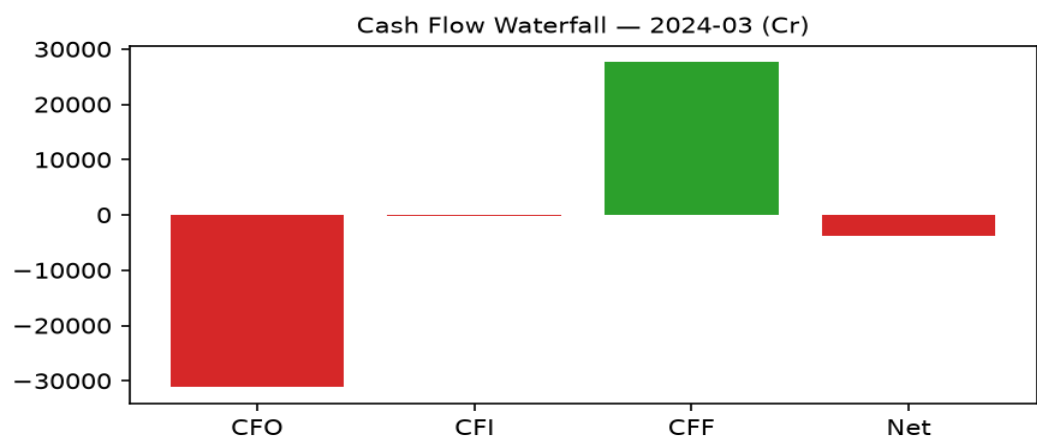
## ROE & ROCE (10yr)



## Balance Sheet Composition



## Cash Flow (Latest Year)



### Pros

- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

### Cons

- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Debt-to-equity of 3.99 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Growth Funded by Debt